



Our ref: IM-72592

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Dear Interested Party

Request for submissions: Lineage's proposed acquisition of Fremantle City Coldstores

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition of Bigstreet Pty Ltd trading as Fremantle City Coldstores (**FCC**) by Australian subsidiaries of Lineage Logistics Holdings LLC (**Lineage**) (the **proposed acquisition**).

Lineage is a global cold storage and logistics business headquartered in the USA. Lineage owns and operates 13 cold storage facilities in Australia, including two facilities located in Welshpool and Banjup in Perth, Western Australia. FCC owns and operates a single cold storage facility in North Coogee in Perth. Further details about the merger parties are provided at **Attachment A**.

Request for submissions

The ACCC's investigation is focused on the proposed acquisition's impact on competition. Information from market participants is one of the ACCC's most valuable tools in assessing mergers. Your expertise in cold storage and related services will help the ACCC understand the impact of the proposed acquisition, including how you or your business may be affected. In particular, we are seeking your views on:

- The ability of customers to switch between cold storage suppliers or self-supply
- The ability of cold storage suppliers to enter or expand in the supply of cold storage in or near Perth, Western Australia
- The likely impact of the proposed acquisition on prices, quality of services, and choice.

How to share your views

A list of specific questions is at **Attachment B**. The more information we have, the better we can assess the impact of the proposed acquisition, but if you are unsure for any questions, you may leave them blank. You may also include any other information you think is relevant.

You can contact us in two ways:

- if you would like to comment in writing, please do so by **4pm 29 July 2024** by email to mergers@accc.gov.au with the title: *Submission re: Lineage-FCC*

- if you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test that the ACCC applies in considering the proposed acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at [ACCC mergers register](#).

Confidentiality of submissions

The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our Informal Merger Review Process Guidelines contain more information on confidentiality.

Yours sincerely



Morag Bond
General Manager
Merger Investigations Branch

Attachment A – Details of merger parties

Lineage

Lineage is a global cold storage and logistics business headquartered in the USA. Lineage owns 13 cold storage facilities in Australia, including two facilities located in Welshpool and Banjup in Perth, Western Australia. The proposed acquisition will be carried out via Lineage's Australian subsidiaries, Lineage AUS TRS Pty Ltd and Emergent Cold (Vic.) Pty Ltd.

Lineage operates its Welshpool facility, providing cold storage and services to a range of customers. Lineage's Banjup facility is currently leased on a long-term basis to larger customers that operate the facility themselves. As part of these leases, Lineage supplies some maintenance services.

In addition to cold storage, at its Welshpool facility Lineage supplies related services including:

- blast freezing
- warehousing services, such as picking, packing, stocktaking, and labelling
- transport and distribution
- automated shrink wrapping
- container loading/unloading.

FCC

FCC is a Perth-based cold storage supplier with one facility located in North Coogee, near Fremantle in Western Australia. In addition to cold storage, it supplies additional services including:

- blast freezing
- warehousing
- local transport
- shrink wrapping and slip sheeting
- container and stillage loading/unloading.

Attachment B – Questions

1. Describe your business or organisation and explain your interest in the proposed acquisition, including any commercial relationship(s) with Lineage or FCC.

Questions for customers

2. Outline your organisation's requirements for cold storage, including details such as the location, number of pallet spaces, storage temperature, and duration of storage required.
3. Outline the nature and extent of any additional services you require in relation to cold storage, for example:
 - a. Warehousing services, such as picking, packing, and stocktaking
 - b. Distribution and transport
 - c. Blast freezing
 - d. Wrapping and labelling
 - e. Container-related services, such as destuffing and storage
 - f. Services related to products intended for export.
4. Describe how you procure cold storage and related services – for example, through formal tender or other methods – including typical contract duration.
5. Describe your ability to switch between suppliers for cold storage and related services in Perth, and the providers of these cold storage services available to your organisation. Consider factors such as time, cost, or any exclusive or long-term contractual arrangements.
6. Would your organisation be able to self-supply cold storage and related services? Consider factors such as time, cost, or any exclusive or long-term contractual arrangements.
7. How likely is it that you would switch to another supplier for cold storage or related services? What factors make switching more or less likely. If possible, provide examples of previous occasions where you have switched suppliers, or outline the reasons why you have not switched suppliers.
8. Describe how you expect your procurement of cold storage and related services to be affected by the proposed acquisition. Describe how you would respond if, post-acquisition, Lineage increased prices by 5 to 10% or decreased quality or service levels.

Questions for providers of cold storage and related services

1. List the cold storage facilities you own and/or operate in Western Australia, including facilities leased to others. Include information about each facility, such as:

- a. Number of pallet spaces and square meters of storage
- b. Storage temperatures available
- c. The extent of automation involved in operating the facility
- d. The extent of related services available, such as:
 - i. Warehousing services, such as picking, packing, and stocktaking
 - ii. Distribution and transport
 - iii. Blast freezing
 - iv. Wrapping and labelling
 - v. Container-related services, such as destuffing and storage
 - vi. Services related to products intended for export.
2. Identify your competitors for the supply of cold storage or related services. Please estimate market shares where possible.
3. Describe what is required to enter into or expand in the supply of cold storage and related services in or near Perth. You may wish to comment on the following:
 - a. The time it would take to enter or expand
 - b. Costs that would be incurred
 - c. The scale required to be competitive
 - d. Availability of real estate assets or key inputs
 - e. Regulatory barriers
 - f. Examples of recent or failed entry
 - g. Whether the proposed acquisition would impact barriers to entry or expansion.
4. Describe your intentions, if any, to expand your capacity to supply cold storage or supply additional related services in or near Perth.

Other

1. Do you have any concerns about the impact the proposed acquisition will have on competition? Please explain your answer.
2. Please provide any additional information or comments that you consider relevant to the ACCC's consideration of the proposed acquisition.